The Memory Cycle Journal

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KOSPI (WED, 2 P.M. KST)
5,560.47 −1.56% after opening +2.43%; foreigners net sold ₩2.5 trillion · Samsung ₩214,000 (−2.51%), SK hynix ₩1,357,000 (−2.93%) · Financial News

MICRON (TUE CLOSE)
$855.10 +2.58%; Sandisk $1,126.52 (+4.78%); SOX 10,600.40 (+2.63%) before AMD's results and the midterm count · Financial News/Yonhap

LEAD STORY

MARKETS · POLICY · DEMAND

AMD Says Demand Beats Supply, but the Midterm Count Knocks Memory Stocks Back

AMD's results backed the case for tight memory into 2027. Then early US election results, including a Texas governor who backs pausing data-center approvals, turned Seoul and Tokyo lower.

By the Memory Cycle Desk · Tel Aviv · ~08:40 IST Wednesday (UTC+2) · Korean prices at 2 p.m. KST, before the close · CONFIRMED unless marked

KEY NUMBERS · WEDNESDAY IN ASIA, TUESDAY IN NEW YORK

ASIA, WEDNESDAY (KOREA 14:00 KST)		US TUESDAY CLOSES AND PRICES	
KOSPI	**5,560.47 (−1.56%)**	Micron	**$855.10 (+2.58%)**
Samsung	**₩214,000 (−2.51%)**	Sandisk	**$1,126.52 (+4.78%)**
SK hynix	**₩1,357,000 (−2.93%)**	SOX	**10,600.40 (+2.63%)**
Kioxia, intraday low	**¥9,635 (−15%)**	AMD Q4 revenue guide	**~$17B ±3%**
Nanya Oct revenue	**NT$46.48B (+488% y/y)**	DDR5 16Gb spot	**$61.50 (flat)**
USD/KRW	**~1,341**	DDR4 16Gb spot	**$82.67 (−0.06%)**

What this shows: memory fundamentals got stronger overnight, but the stocks are trading on US politics and AI spending risk. Kioxia's low is against Tuesday's ¥11,345 close; it was about −8% late in the session (MONEY BOX). Correction to No. 28: Tuesday's closes were Samsung −4.15% and SK hynix −5.03% (Yonhap). Sources: Financial News, Hankyung, Yonhap, MONEY BOX, AMD, TrendForce, market quote (won).

AMD reported third-quarter revenue of $13.4 billion, up 45%, with data-center sales up 97% to $8.5 billion, and guided the fourth quarter to about $17 billion. It expects revenue to grow more than 80% in 2027. Chief executive Lisa Su said "demand is higher than supply" and that AMD has secured "wafers, substrates, advanced packaging, the memory" it needs, under long-term agreements with suppliers and with customers, where costs are "shared". Micron rose 2.58% and Sandisk 4.78% on Tuesday before the report (AMD, CNBC, call transcript).

Overnight, the mood changed. Democrats were projected to win the House, and possibly the Senate. In Texas, AP projected Hinojosa as governor; she supports a moratorium on new data centers. Nasdaq-100 futures fell about 0.8% and CoreWeave about 7% (CNBC). Seoul opened 2.43% higher on AMD, then turned lower as foreigners sold ₩2.5 trillion of shares, and Samsung and SK hynix fell 2–3% by 2 p.m. (Financial News, Yonhap). In Tokyo, Kioxia fell as much as 15% intraday, its second straight sharp drop (MONEY BOX).

Our call: unchanged overall; DRAM steady with firmer demand signals, NAND steady.
CYCLE SIGNAL: FUNDAMENTALS INTACT; THE NEW RISK IS US POLICY ON DATA-CENTER TIMING

DEMAND · CUSTOMERS · PCS

AMD Has Locked In Its Memory. PC Buyers Are Paying for It

AMD said PC sell-through slowed "as higher memory and component costs weighed on demand". Client revenue fell 4% from the second quarter, and AMD plans for 2027 PC units to fall by double digits. Gross margin was 56%, guided to about 55%, and inventory rose to $11.5 billion. AMD expects data center to be more than 80% of revenue in 2027. Its comments fit a pattern: big AI buyers sign long contracts and share the cost, while consumer devices absorb the price rises (AMD, call transcript, CNBC).

POLICY · DATA CENTERS

Texas Vote Puts the Largest Planned Data-Center Market on Pause Watch

Wells Fargo says Texas accounts for 27% of planned US data-center capacity in gigawatts, and its strategist called the result a "left-tail event" for AI stocks (CNBC). A moratorium would need the state legislature, so nothing has stopped yet. For memory, the risk is timing: projects for 2027–28 could slip, while chips for this year and next are already under contract. OPINION Investor Brad Gerstner says 10–15 GW of the 43 GW expected online in 2027 will not arrive (via X).

SUPPLY · TAIWAN · KOREA

Winbond Commits NT$73 Billion to a New DRAM Fab as Nanya Posts a 12th Straight Record

Winbond's board approved NT$73.163 billion for Kaohsiung Module B: 50,000–60,000 wafers a month at 16nm, ground-breaking in late December, first small output in the second half of 2029 and full output in 2030. President Chen Pei-ming said supply stays tight in 2027–28, some tool lead times exceed two years, and long-term deals with big customers cover 2027–2030. Fourth-quarter prices still rise, but by less than in the third quarter (Commercial Times). Nanya's October revenue was NT$46.48 billion, up 3.07% from September and 487.73% from a year earlier (TechNews). Reuters reports that the US is holding up tool licences for SK hynix's Dalian NAND expansion, while its Solidigm unit weighs about $45 billion for two fabs in New York (Investing.com, Aju). Separately, Samsung's second Taylor fab will make 2nm HBM base dies for AMD and Nvidia from 2030, Maeil Business reports; Samsung declined to comment (CNA) REPORT.

FROM THE INBOX · SINCE NOV 3, 08:00 IST

NEW **Memory still the top pick.** Memory remains the preferred semis group on disciplined supply, LTAs, strong balance sheets and buybacks, despite near-term pressure. The election is not expected to change long-term US/Asia chip or data-center expansion. PCs stay weak through 2027, with client recovery late 1H27 to early 2H27. Sell-side semis call notes (Nov 3)

NEW **AMD, read by the brokers.** One sees 2027 revenue around $94 billion, versus about $90 billion consensus; another says higher memory costs weigh on PC demand; a third sees 80% growth in 2027 despite PC headwinds, with gross margin held near 55%. Broker notes (AMD Q3)

NEW **Texas after Abbott.** A broker expects a pause on new data-center permits until the legislature passes protections, with new approvals mid-2027 at best. Broker note (AI infrastructure)

Near capitulation? Semis positioning slipped below neutral, and Apple's December-quarter margin is under pressure from memory costs. Jefferies semis daily (Nov 3)

ON X · SINCE TUE ~08:00 · IST

@jukan05 · Nov 4 03:51
UNCONFIRMED Korean media: Applied, ASML, Lam, TEL and KLA are near final 2028 tool contracts with chipmakers, with some 2029 orders discussed.
x.com/.../2117796874392609013

@pequityresearch · Nov 4 01:00
Korea Investment & Securities sees SK hynix 4Q DRAM ASP +18% q/q and NAND +13%.
x.com/.../2117753693084803308

@wallstengine · Nov 3 18:04
Citi still sees 2027 undersupply: DRAM demand +28% vs supply +24%, NAND +26% vs +22%; deficits narrow to 3.8% and 3.3%.
x.com/.../2117649174665838604

@pequityresearch · Nov 3 21:00
Goldman projects 2027 NAND ASP +34% for Samsung and +30% for SK hynix.
x.com/.../2117693293160976694

CYCLE TRACKER · UNCHANGED: DRAM STEADY, DEMAND FIRMER, POLICY RISK UP

GAUGE	TODAY VS NOV 3 (KPI WATCH LIST)	NUDGE
Contract ROC	Winbond: 4Q prices still rising, by less than 3Q; KIS sees SK hynix 4Q DRAM ASP +18%, NAND +13%; Goldman 2027 NAND ASP +30–34%	**Rising, slower**
Spot vs contract	DDR5 16Gb $61.50 flat; DDR4 16Gb $82.67 (−0.06%); TrendForce calls it a "prolonged standoff", not a fall	**Flat**
LTAs / lead times	AMD has memory under LTAs, with costs shared with customers; Winbond LTAs cover 2027–2030; some tool lead times over 2 years	**Long, firm**
Margins / guide	AMD guides Q4 to ~$17B and 2027 growth above 80%; Nanya's 12th straight record month; PC units seen down double digits in 2027	**Peak zone**
Capex / new supply	Winbond Module B (output 2H29); Solidigm ~$45B NY plan; Samsung Taylor base dies 2030 (report); Dalian licences held up	**Building, 2029–30**

VERDICT VS PREVIOUS CALL (NO. 28, NOV 3)
Late upcycle; tight through 2027 and booked into 2028. Unchanged overall. DRAM is steady, and demand signals firmed: AMD says demand exceeds supply and has its memory under long-term contracts, Winbond sees tight supply in 2027–28, Nanya set another record, and Citi still sees a 2027 shortfall, though a smaller one. NAND is steady after two looser days. The new risk is political: Texas could delay data-center approvals, which would hit 2027–28 timing and valuations before it hits contract prices. Spot is flat, not falling. Playbook: margins are in the peak zone, and new fabs keep being announced, but their output lands in 2029–30. Next tests: Qualcomm and Arm tonight, and Nvidia on Nov 17.

EVENTS CALENDAR · NOV 4–18 · ISRAEL TIME (IST, UTC+2) · US CASH OPEN 16:30

Wed Nov 4	Qualcomm (call 23:45) · Arm (call 00:00 Nov 5) · Coherent, GlobalFoundries, Camtek · Thu: Nova, Microchip	Phones
Fri Nov 6	US payrolls 15:30 · Micron Taoyuan union talks (reported)	Macro
Mon Nov 9	Sandisk split record date (8-for-1; split-adjusted trading from Nov 20)	NAND
Tue Nov 10	TSMC October sales (07:30) · US CPI 15:30 · CoreWeave	AI
~Wed Nov 11	Korea Nov 1–10 exports (chips)	Trade
Tue Nov 17	Nvidia FQ3 results (call 00:00 Nov 18)	HBM

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #29 · Nov 4, 2026